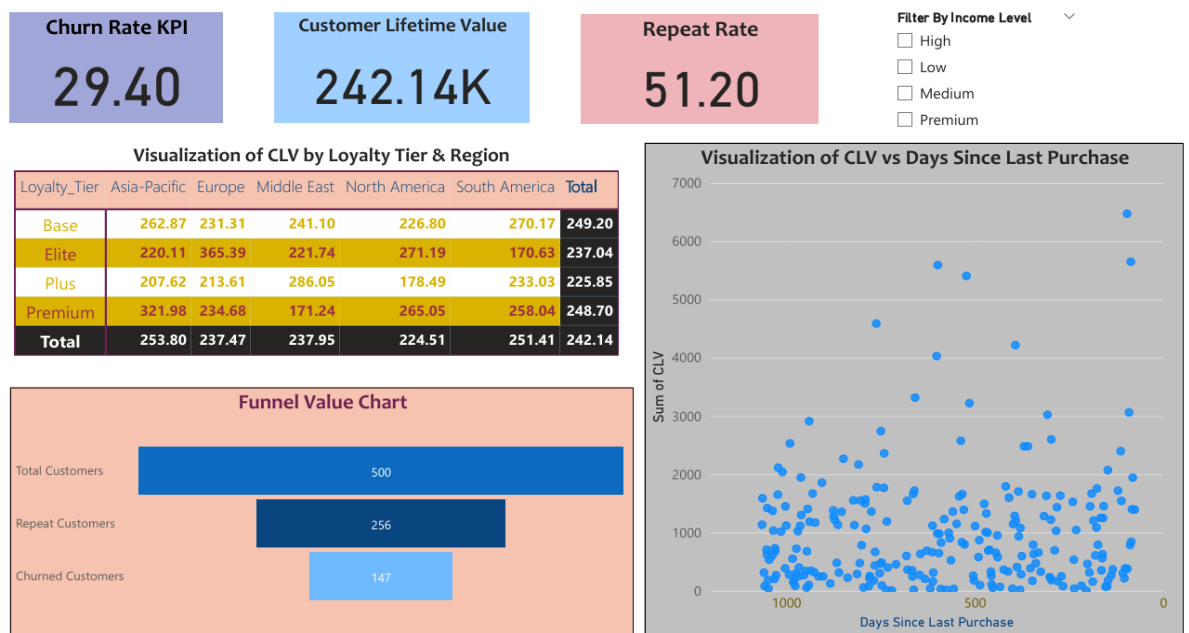


• Retail Customer Retention Analytics – ADIDAS

KPIs (Churn, CLV, Repeat Rate)



- 1. Churn Rate (29.4%)** – Around one-third of customers have stopped purchasing. Here I am calculating churn rate by dividing churned customer and total customer

```
1 Churn Rate KPI = DIVIDE('Churn_Labelled_Customers (1)'[Churned Customer], 'Churn_Labelled_Customers (1)'[Total Customers])*100
```

- 2. Customer Lifetime Value (₹242.14K)** – Shows good overall customer value.

```
1 CLV =
2 DIVIDE(
3   'Customer_Transactions'[Total Spent per Customers],
4   RELATED('Customer_Demographics'[membership_duration]),
5   0
6 )
```

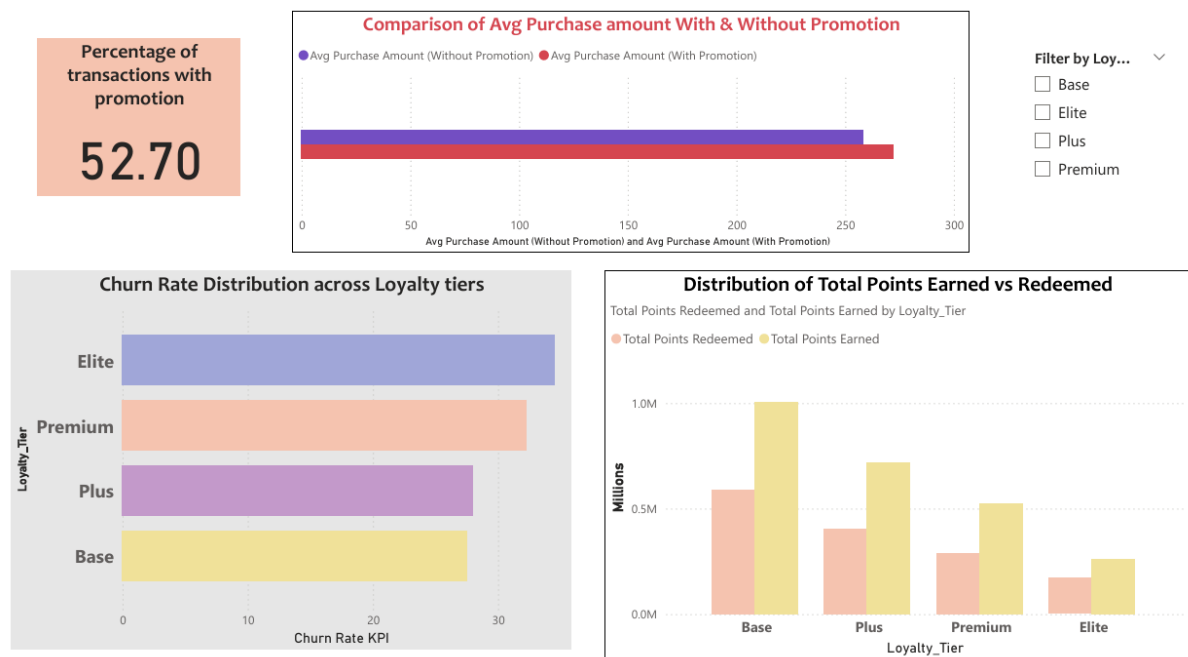
Formula = CLV = Total Amount Spent / Membership Duration (Years)

- 3. Repeat Rate (51.2%)** – More than half of customers buy again, showing fair retention.

```
1 Repeat Rate (%) =
2 DIVIDE(
3   [Repeat Customers],
4   [Total Customers]
5 ) * 100
```

- The highest CLV by Loyalty Tier are **Premium** and **Base** & Region wise are **Asia-Pacific, South America**
- The Funnel Chart highlights **500** total customers, **256** repeat, and **147** churned.
- The CLV vs Days Since Last Purchase chart shows that customers with recent purchases tend to have higher CLV.

- **Loyalty & Promotion Impact**



There is **52.7% of transactions** involved a **promotion**, showing strong promotional engagement. Following formula used for calculating the Percentage of Transaction with promotion

```
% Transactions with Promotion =
DIVIDE(
    CALCULATE(
        COUNTROWS('Customer_Transactions'),
        FILTER(
            'Customer_Transactions',
            'Customer_Transactions'[Promotion_Applied] = "Yes"
        )
    ),
    COUNTROWS('Customer_Transactions'),
    0
)*100
```

- The **average purchase amount** is **slightly higher with promotions**, meaning offers encourage customers to spend more.

Following are the calculations with promotions & without promotions

With Promotions:

```
Avg Purchase Amount (With Promotion) =
CALCULATE(
    AVERAGE('Customer_Transactions'[Amount]),
    'Customer_Transactions'[Promotion_Applied] = "Yes")
```

Without Promotions:

```
Avg Purchase Amount (Without Promotion) =  
CALCULATE(  
    AVERAGE('Customer_Transactions'[Amount]),  
    'Customer_Transactions'[Promotion_Applied] = "No"  
)
```

- **Churn Rate by Loyalty Tier** shows that **Premium and Elite members** have relatively lower churn, proving loyalty benefits help retain valuable customers.

```
Churn Rate KPI = DIVIDE('Churn_Labelled_Customers (1)'[Churned Customer], 'Churn_Labelled_Customers (1)'[Total Customers])*100
```

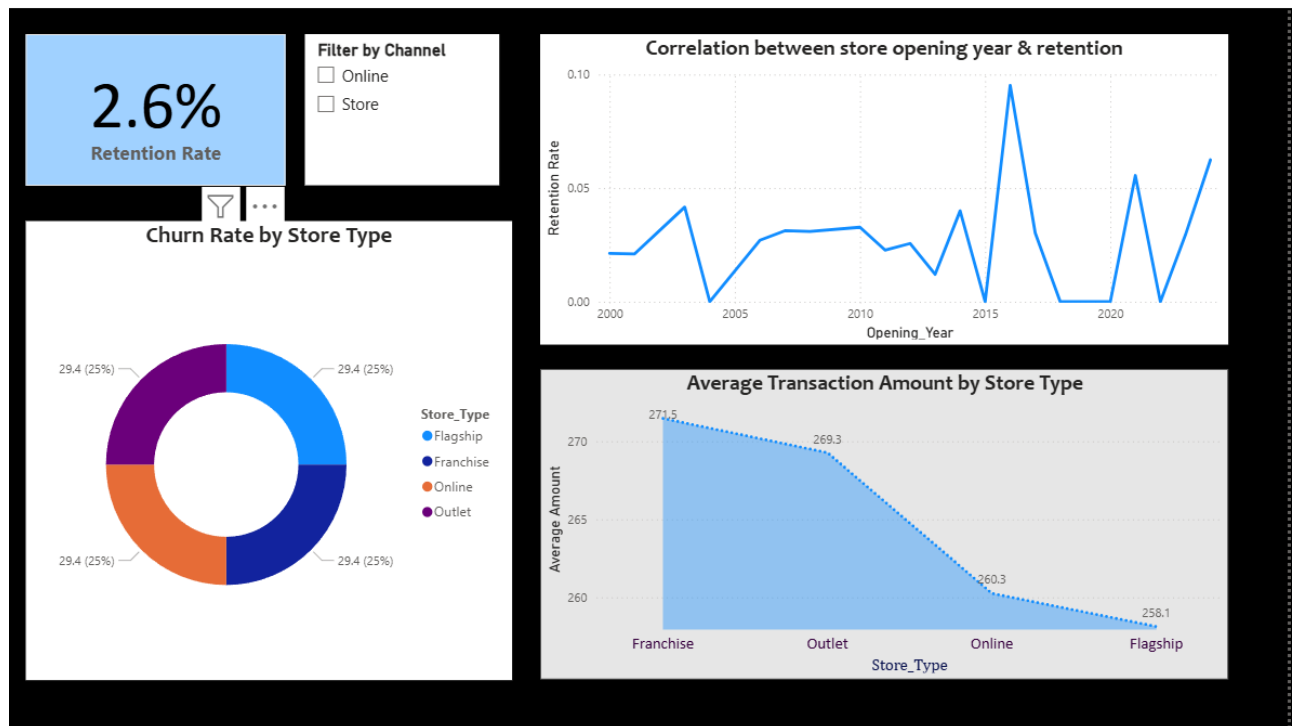
- **Points Earned vs Redeemed** chart shows that **Base and Plus customers** earn and redeem the most points, while **Elite customers** redeem fewer, suggesting higher saving or less activity.

```
Total Points Earned =  
SUM(Loyalty_Program[Points_Earned])
```

```
Total Points Redeemed =  
SUM(Loyalty_Program[Points_Redeemed])
```

- **Recommendations to improve redemption & retention:**
 - **Promote rewards** – Remind customers about points and offers to boost redemptions.
 - **Give personalized deals** – Offer discounts based on customer habits and loyalty tier.
 - **Make redemption easy** – Simplify the process online and in-store.
 - **Reward loyalty** – Give bonus points or early access to loyal customers.
 - **Win back churned users** – Send special offers to bring them back.

- Store/Channel Insights



1. **Retention Rate is 2.6%**, showing very low repeat engagement across stores.

Retention Rate =
 $1 - \text{AVERAGE}(\text{Customer_Transactions}[\text{Repeat_Flag}])$

2. **Churn Rate by Store Type** is evenly spread (around 25%) across *Flagship*, *Franchise*, *Online*, and *Outlet* stores.

Churn Rate KPI = $\text{DIVIDE}(\text{'Churn_Labelled_Customers (1)'}[\text{Churned Customer}], \text{'Churn_Labelled_Customers (1)'}[\text{Total Customers}]) * 100$

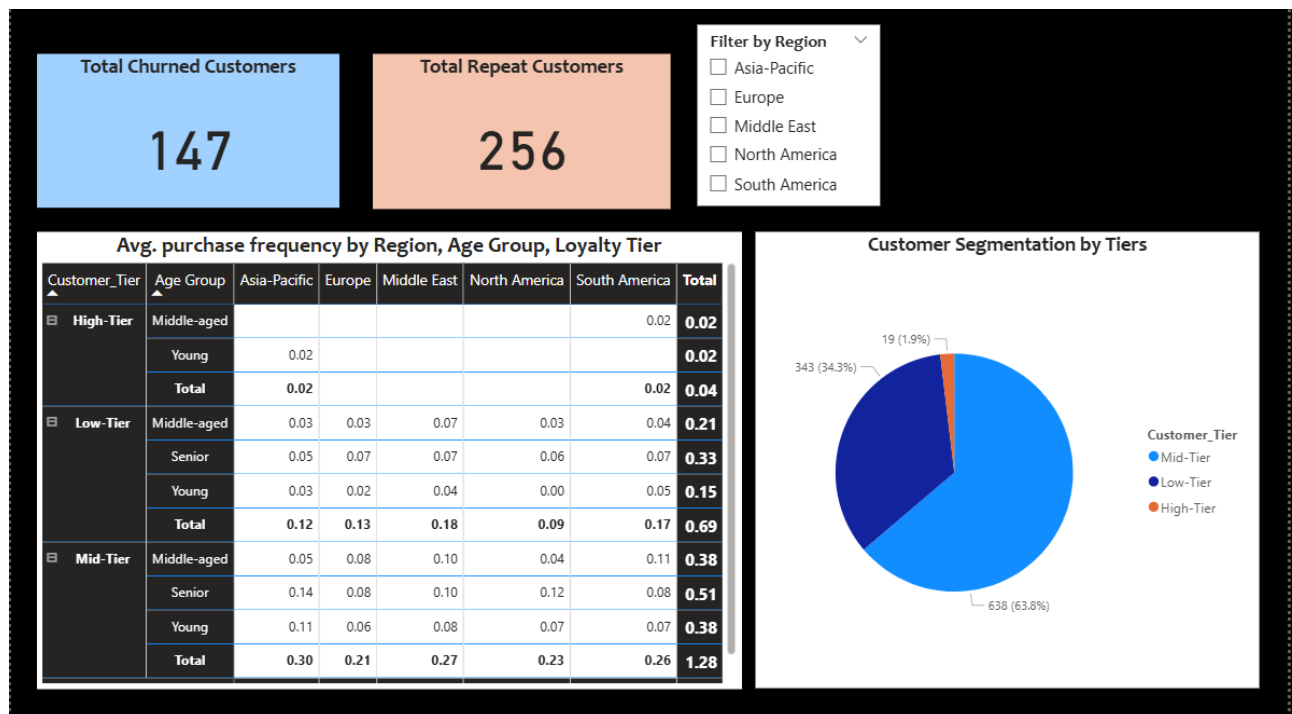
3. **Average Transaction Amount** is highest for **Franchise (₹271.5)** and **Outlet (₹269.3)** stores, indicating stronger sales performance in these formats.

Average Amount = $\text{AVERAGE}(\text{'Customer_Transactions'}[\text{Amount}])$

4. **Retention vs Store Opening Year** chart shows fluctuating retention, with a slight improvement in recent years.

Retention Rate =
 $1 - \text{AVERAGE}(\text{Customer_Transactions}[\text{Repeat_Flag}])$

- Segmentation (Churned, Repeat, High-Value)



Out of Total 500 Customers 147 customers are churned, while 256 customers are repeat, showing a balanced retention performance, Calculated Repeat customers using following formula.

```
Repeat Customers =
CALCULATE(
    DISTINCTCOUNT(Customer_Transactions[Customer_ID]),
    Customer_Transactions[Repeat_Flag] = 1
)
```

Customer Segmentation by Tiers chart shows that most customers are **Mid-Tier (63.8%)**, followed by **Low-Tier (34.3%)**, and only **1.9%** are **High-Tier** customers.

```
Customer_Tier =
VAR Purchases = [Purchase_Count]
RETURN
SWITCH(
    TRUE(),
    Purchases <= 3, "Low-Tier",
    Purchases <= 8, "Mid-Tier",
    Purchases > 8, "High-Tier",
    "Unknown"
)
```

Average Purchase Frequency table indicates **Mid-Tier customers** have the highest purchase activity, especially in the **Middle East and Asia-Pacific** regions.

High-Tier customers show very low purchase frequency, suggesting a need to improve engagement for premium segments.

Formula used for calculating Age group, Loyalty tier, Average purchase frequency

Age Group:

```
Age Group =  
SWITCH(  
  TRUE(),  
  'Customer_Demographics'[Age] >= 18 && 'Customer_Demographics'[Age] <= 30, "Young",  
  'Customer_Demographics'[Age] >= 31 && 'Customer_Demographics'[Age] <= 45, "Middle-aged",  
  'Customer_Demographics'[Age] >= 46 && 'Customer_Demographics'[Age] <= 65, "Senior",  
  "Other"  
)
```

Loyalty Tier:

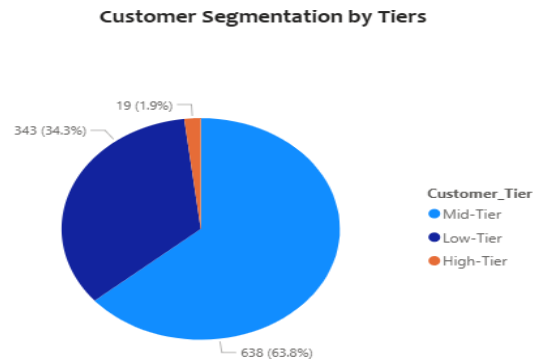
```
1 Customer_Tier =  
2 VAR Purchases = [Purchase_Count]  
3 RETURN  
4 SWITCH(  
5   TRUE(),  
5   Purchases <= 3, "Low-Tier",  
7   Purchases <= 8, "Mid-Tier",  
3   Purchases > 8, "High-Tier",  
3   "Unknown"  
3 )
```

Avg_Purchase_Frequency = DIVIDE([Total Transaction], [Total Customers],0)

High-Tier customers show very low purchase frequency, suggesting a need to improve engagement for premium segments.

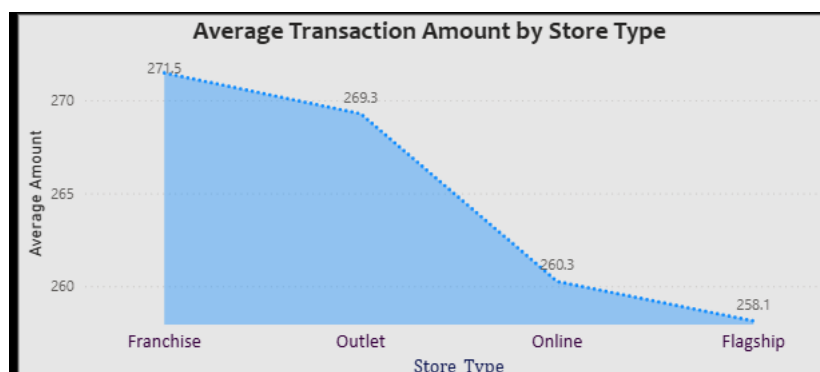
➤ Recommendations for Adidas

- **Customers to Prioritize for Retention:**



Focus on **Mid-Tier repeat customers**, as they form the largest group 63.8% and show strong purchase frequency. Also, re-engage **High-Tier customers** with personalized offers to boost their activity.

- **Underperforming Channels:**



Online and Flagship stores show lower average transaction amounts and retention — they need better engagement strategies and targeted promotions.

- **Strengthen Loyalty Program Engagement:**

Encourage more **points redemption** and reward **consistent repeat buyers**. Offer exclusive benefits and tier upgrades to motivate **Low and Mid-Tier** customers to move up to **High-Tier**.

Video link: <https://screenrec.com/share/hkGuF2UPvq>